

Identification Guidelines

[Table 53.1](#) shows identification guidelines, and [Figure 53.2](#) shows another example of the roof pattern.

Appearance. Look for price to form a pyramid shape like that shown at A in [Figure 53.2](#). The inbound price trend can be from any direction (up or down), so it is not a factor you should consider. You'll want to avoid selecting patterns that are simple or complex head-and-shoulders tops. Those have multiple shoulders (which mirror across the head both in time and price) and *will break out downward*. In fact, if you think you've found a roof pattern, you're probably wrong because this pattern is quite rare. So check for a head-and-shoulders top or complex head-and-shoulders top.

[Table 53.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	Looks like a pyramid with a central high peak and down-sloping sides with a flat or nearly flat bottom.
Trendline touches	At least three minor low touches on the bottom. Price should touch the side trendlines, too, but I don't set a minimum touch count for them. The side trendlines should slope downward from a central peak.
Horizontal trendline	The bottom trendline should be horizontal or nearly so. If it slopes, then you might be looking at a simple or complex head-and-shoulders top.
Volume	Trends downward the majority of the time from pattern start to end.
Breakout direction	Downward most often when price closes outside one of the trendline boundaries, but the breakout can be upward, too.
Duration	The median width is about six weeks long (47–56 days), but I set no minimum or maximum.